237

BLESSED GEBREMICHEAL SECONDARY SCHOOL
2ND SEMESTER MID EXAM FOR GRADE 10 STUDENTS

Exam name: - Economics **Time allowed: - 35 minutes**

Max weight: - 25% **Target student: Grade-10**

Name: - Bitanya Wondmegegnehu **no-** 12 **section:** 10th B

Part I: - Choose the best one among the alternatives (1.5 marks)

B 1. Financial intermediaries are institutions that:
   A. Produce goods and services
   B. Facilitate exchange between borrowers and lenders
   C. Control inflation directly
   D. Set government fiscal policy

B 2. Which of the following is NOT a function of financial markets?
   A. Mobilizing savings
   B. Printing money
   C. Facilitating investment
   D. Allocating resources efficiently

B 3. A commercial bank mainly earns profit through:
   A. Tax collection
   B. Interest rate spread between deposits and loans
   C. Government subsidies
   D. Selling goods

A 4. Which of the following best explains the importance of financial intermediaries? → Safety, liquidity.
   A. They eliminate all financial risks → Safety
   B. They reduce transaction costs and improve efficiency
   C. They replace government institutions
   D. They increase inflation

B 5. The primary role of indigenous financial institutions like Idir and Iqub is to:
   A. Provide international loans
   B. Support social and financial cooperation among members
   C. Replace banks
   D. Control inflation

B 6. Among the following, which one is an instrument for money market?
   A. Equity - Cap
   B. Treasury bills
   C. Bond - Cap
   D. All

B 7. A key difference between microfinance institutions and commercial banks is that microfinance institutions:
   A. Do not charge interest
   B. Focus on small-scale borrowers without collateral
   C. Operate only internationally
   D. Are owned by governments only

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B 8. Financial institutions contribute to economic growth primarily by:
   A. Increasing consumption
   B. Mobilizing savings and channeling them into productive investments
   C. Reducing government expenditure
   D. Eliminating inflation

B 9. Which of the following is NOT likely to be a goal of a National Bank?
   A. Printing currency notes or minting coins
   B. Deposits
   C. Maintaining a low inflation rate
   D. Encouraging economic growth

D 10. Among the following, which one is an example of e-banking
   A. Debt card
   B. Credit bank
   C. Mobile banking
   D. All

Part II: - Say True if the statement is correct and Say false if the statement is wrong (1 mark)

1. Indigenous financial institutions operate only in urban areas. false
2. E-banking includes services like ATM and mobile banking. True
3. Central (commercial) banks primarily aim at profit maximization. false
4. Microfinance institutions always require collateral from borrowers. false
5. Long-term financial instruments are issued in the money (cap) market. false

Part III: - Matching (1 marks)

A	B
1. Microfinance institutions E	A. Social insurance institution
2. E-banking D	B. Controls money supply
3. Commercial bank C	C. Provides loans and accepts deposits
4. Central bank B	D. Online financial services
5. Idir A	E. Serve low-income clients

Answer sheet

Name: Bitanya Wondmagegnehu class: 10th B NO = 12

Part I: - Multiple choice item

1	2	3	4	5	6	7	8	9	10
B	B	B	A	B	B	B	B	B	D

Part II: - True/False item

1	2	3	4	5
false	True	false	false	false

Part III: - Matching

1	2	3	4	5
E	D	C	B	A